

AS level economics

Market failure

alpha



By:-

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Policies to correct market failure with demerit goods

① Indirect tax e.g. sales tax / Value added tax

e.g. sales tax



Cost of production ↑



Burden ↑



Supply ↓



Burden passed on to consumers



Price ↑



Quantity demanded ↓



To what extent? It depends on PED!

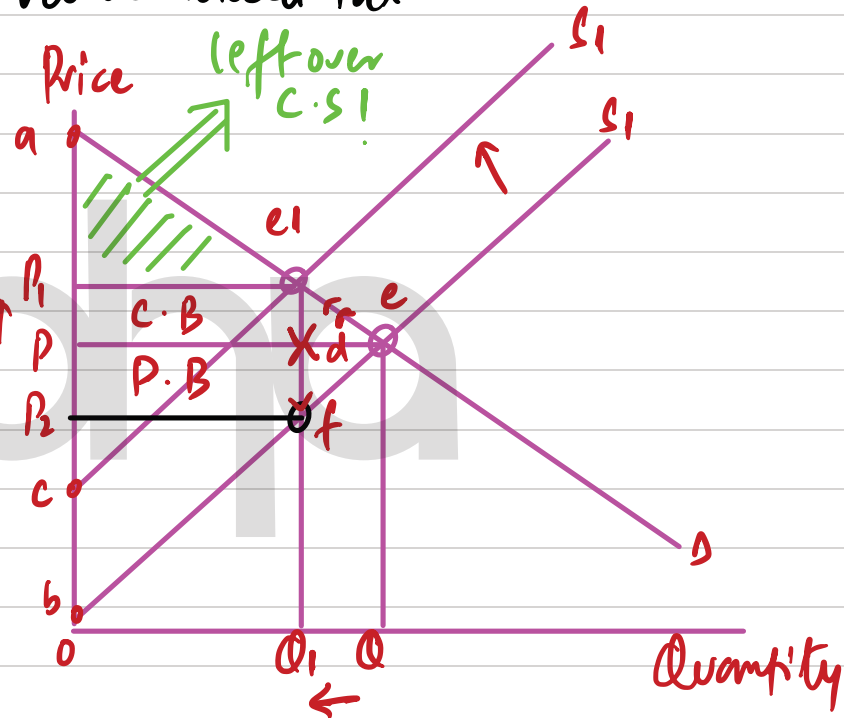
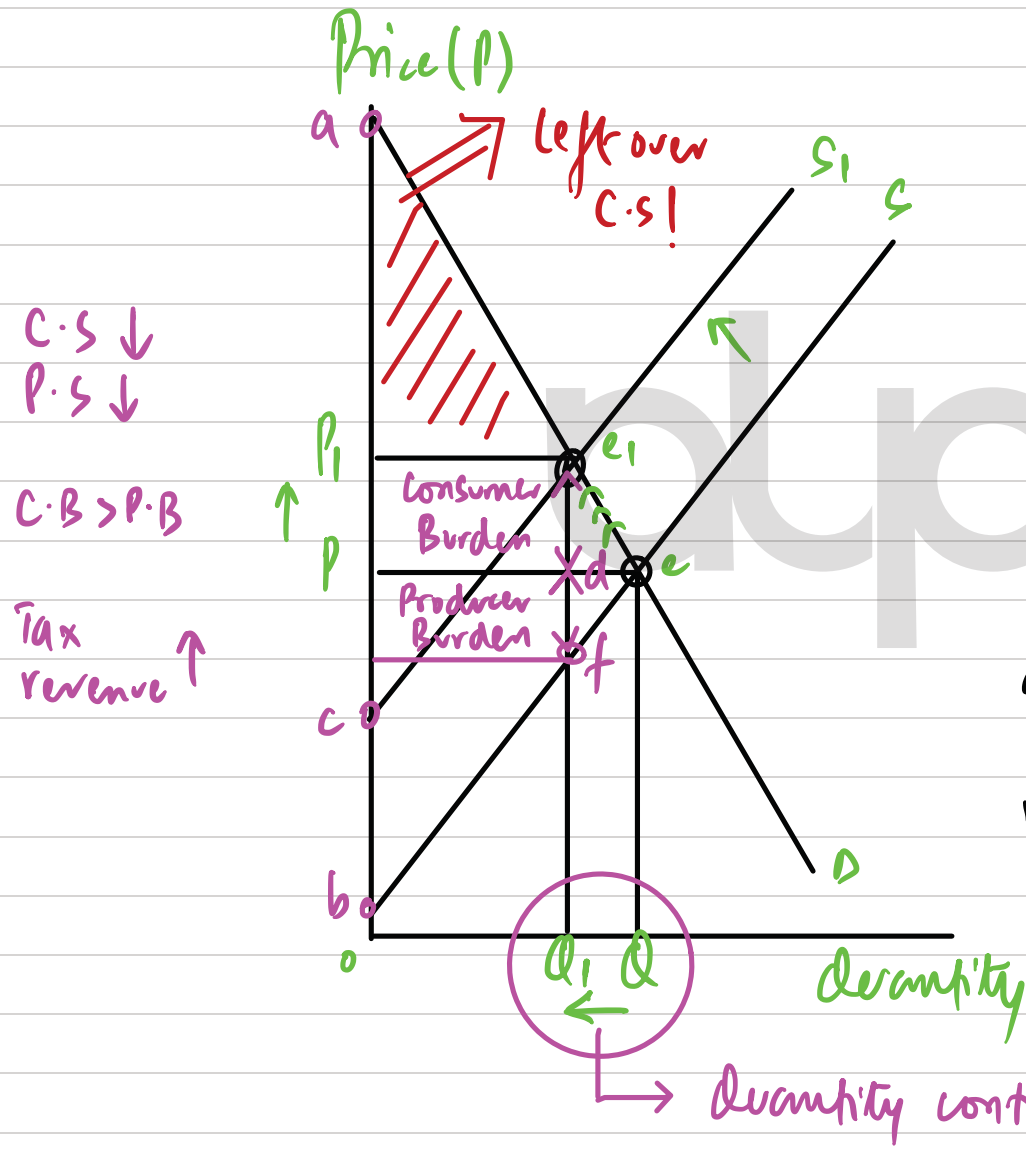


Diagram showing impact of indirect tax in a market on demerit goods!

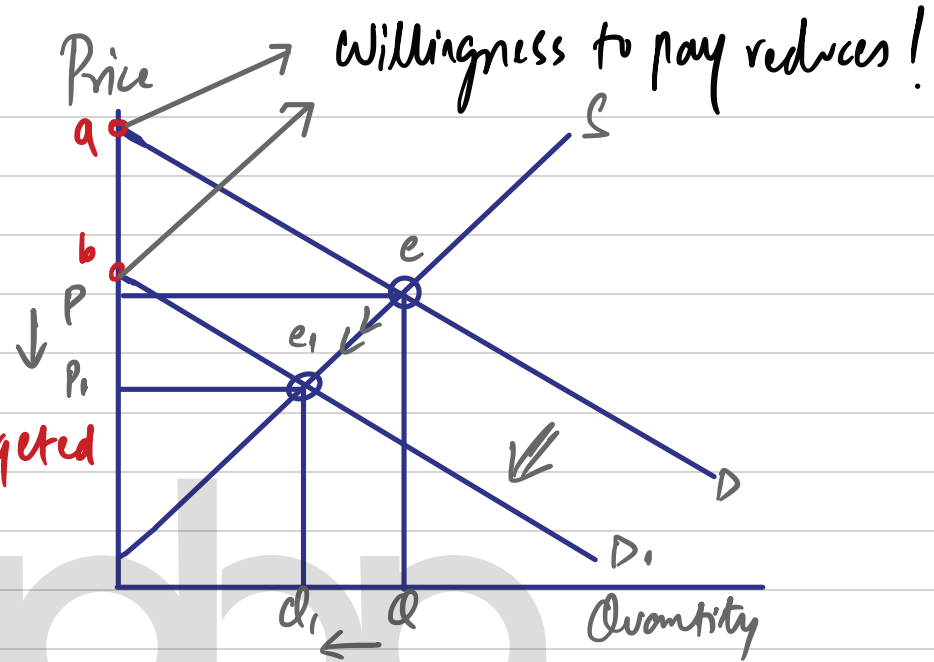
But, demerit goods are mostly habitual, that is it has inelastic demand



* Impact of indirect tax in reducing consumption of demerit goods will be there but by small extent. The advantage will be in terms of tax revenue which can be utilized by government in spreading awareness regarding health concerns, that is persuasive and informative advertising.

2 Advertising

- ★ *persuasive advertising*
- ★ *Informative advertising*
- ★ *Greater number of people to be targeted*
- ★ *Target :- Demand ↓*
- ★ *Expensive*
- ★ *Time consuming*
- ★ *It's impact will be in the long run*
- ★ *Different mediums to be used to influence the decision of individuals*



Policies to correct market failure with merit goods

① Subsidy

grant/cash payment

By:- Government

TO:- producers

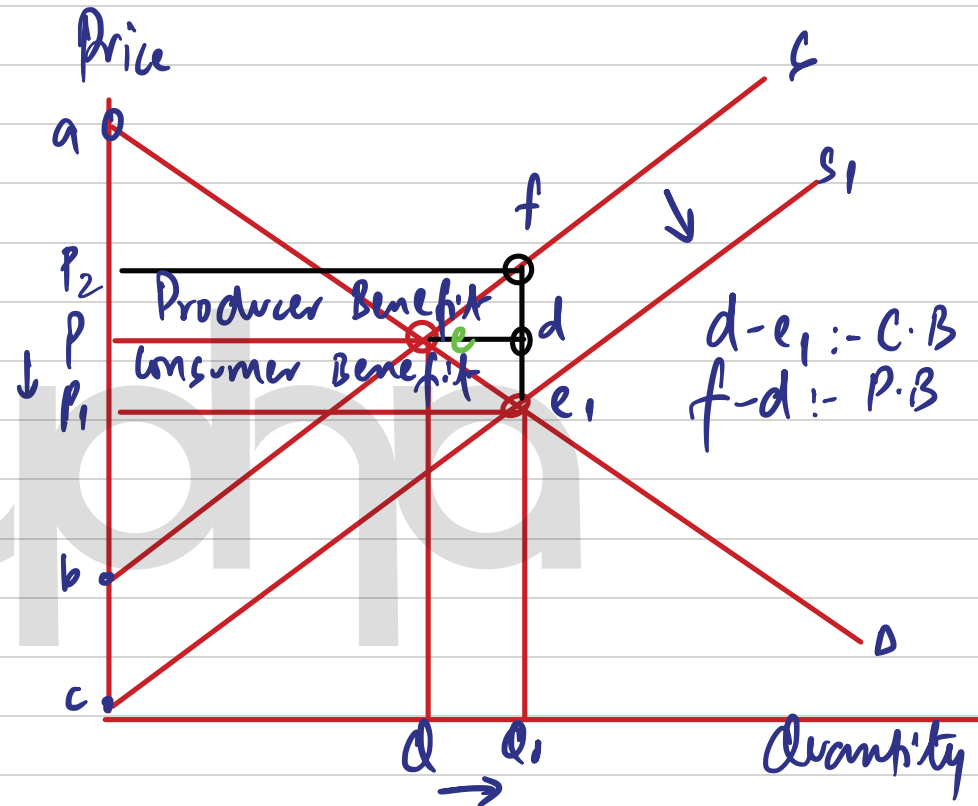
cost ↓

Supply ↑

Surplus

prices ↓

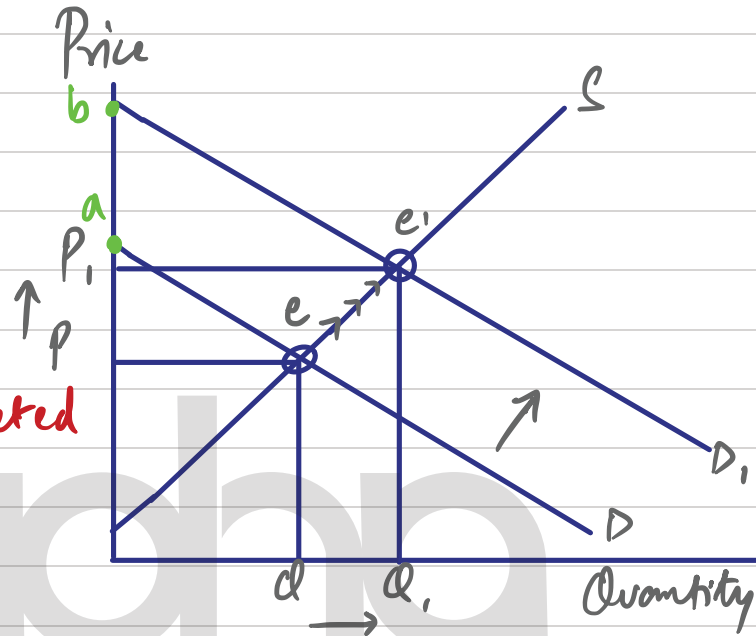
Quantity demand ↑



Impact on subsidy in a market of merit goods

2 Advertising

- * Persuasive advertising
- * Informative advertising
- * Greater number of people to be targeted
- * Target :- Demand $\uparrow$ (long term)
- * Expensive
- * Time consuming
- * Advertising $\rightarrow$ influence $\rightarrow$ Demand $\uparrow$
 consumption $\uparrow$
 production
 (External Benefit $\uparrow$)



Direct provision of goods and services

Another way in which a government could intervene in a market is through the direct provision of goods and services. Although a government could intervene in a market to discourage the production of goods and services, such as through the use of taxation, or to encourage the production of goods and services, such as through the use of subsidies, it could also intervene in a market by directly providing goods and services itself, often alongside the provision of such goods and services by the private sector.

Such direct provision in a market would increase the size of the public sector and reduce the size of the private sector in an economy. It could have a number of advantages, such as saving an industry from collapse, but it could have a number of disadvantages, such as being less efficient.

The provision of information :- Market failure can be caused by inadequate information. A government would therefore aim to increase the availability of appropriate information to consumers in order to try to influence their economic behaviour.

It is assumed that consumers will always aim to maximize their utility or satisfaction but they will only be able to achieve this objective if they are in possession of the necessary information. If this information is not available, it is unlikely that they will be able to make rational decisions.

Information failure is a major cause of market failure and so a government

will need to take measures to improve the accuracy and availability of information that consumers need. This will help them make rational decisions and ensure that scarce resources are allocated as efficiently as possible. For example a government could aim to make people as well informed as possible about the potential advantages of the consumption of merit goods, such as education and health care. It could also aim to make people as well informed as possible about the potential disadvantages of demerit goods, such as alcohol and tobacco. A particular example of such an approach in relation to the consumption of demerit goods is 'nudge' theory.

Behavioural insights and "nudge" theory: Behavioural insights into the achievement of resource allocation and the correction of market failure emphasise the importance of the actual behaviour of people in an economy. This is in contrast to the traditional approach that is based on the idea that a consumer will act in a rational way.

Nudge theory is a particularly good example of this behavioural insight into economic behaviour. The theory is based on the idea that the economic behaviour of people can be 'nudged' in a particular direction.

An example of this would be in relation to the discouragement of the consumption of demerit goods. Governments in some countries, for e.g. include a warning about the possible effects of consuming cigarettes. This could be in the form of a relatively mild nudge, such as when a packet of cigarettes includes on it the warning "smoking can damage your health". A stronger nudge could occur, however, if the wording was changed to "smoking can kill".

Similar example can be found in relation to the consumption of alcohol. A government might decide to nudge consumers in a particular direction by including wording such as "drink sensibly" both on the product and in the advertising of the product. In some countries, the government will support a Drink Aware campaign where consumers of alcohol are informed about the possible dangers to their health of excessive consumption.

Government failure in microeconomic intervention

Government failure occurs when government intervention in an economy causes an inefficient allocation of resources and a decline in economic welfare. It often arises from attempts to solve market failure, but as a result it can lead to creation of different problems, such as distortions or imperfections in the market.

Causes:

- * Lack of incentives, the profit motive is usually lacking in the public sector and public sector workers may be paid less than equivalent workers in the private sector, this would lead to inefficiency.
- * Poor information, a government's policy can only be effective if it has all the required information on which to base policy decisions, but politicians may not always have all the necessary information required to take appropriate decisions; for e.g. it is not easy to place a monetary value on a negative externality, such as pollution. Any inaccurate information is likely to undermine the effectiveness of any government microeconomic intervention.
- * Political interference, a government decision may be taken for short term political gain rather than for more long term economic reasons.
- * Moral hazard, a government could take decisions that encourage risk taking, for e.g. a decision to support financial institutions to avoid any of them failing and going out of business.

- * **Regulatory capture**, a government could become too friendly with those they are trying to regulate
- * **Unintended consequences**, a government policy to reduce poverty through the provision of benefits could lead to a situation of 'welfare dependency'.

Consequences of government failure

- * **Taxation**, a government may decide to use a progressive income tax to bring about a more equitable distribution of income, but if the top rate of tax is very high, there may be a disincentive for the higher paid to work as much; some workers may even decide to leave the country and seek employment elsewhere
- * **Employment**, a government may be reluctant to take a decision which makes people redundant, for e.g. if workers are relatively unproductive, because this will lead to an increase in the level of unemployment.
- * **Net welfare loss to society**, when the consequences of government intervention are contrasted with the original problem that necessitated the intervention, it may be that the overall effect is a net welfare loss to society, that is, the consequences of the government failure have actually made the situation worse than before.
- * **Distortion of price signals**, one of the advantages of free market is that it gives out price signals which lead to an efficient allocation of resources, but government intervention in a market could distort those signals so that the outcome could be an inefficient allocation of resources; for e.g. a government may decide to support a failing industry through subsidies when a better decision might have been to allow it to fail.

Questions

Marks:- 16

Q1 Discuss whether indirect tax is more useful than advertising in resolving the issue of demerit good? 12

Ans:- 4 marks, indirect tax, impact, diagram, explain

4 marks, Advertising, impact, diagram, explain

4 marks, conclusion (Parallel policies to be applied) + Effectiveness of both

Q2 Discuss whether subsidy is more useful than advertising in resolving the issue of merit goods? 12

Ans:- 4 marks, Subsidy, impact, diagram, explain

4 marks, Advertising, impact, diagram, explain

4 marks, Effectiveness of both, Advertising > Subsidy